

R.Rajanna vs M. Krishna on 15 April, 2017

IN THE COURT OF THE LX ADDITIONAL CITY CIVIL &
SESSIONS JUDGE, BENGALURU
(CCH-61)

Dated this the 15th day of April, 2017

:Present:

Sri S.K.Vantigodi, B.A., LL.B.,
LX Addl. City Civil & Sessions Judge,
Bengaluru.

Crl. Appeal. No.149 / 2016

Appellant :-

R.Rajanna
Aged about 62 years,
M/s R.K.R. Lunch Home,
No.5, 19th Cross, Sampangi Ramanagar,
Bengaluru - 560 027.

(Rep by Sri D.Sheshadri, Advocate)

Vs.

Respondents:-

M. Krishna,
S/o Mr. P. Muniswamappa,
Aged about 37 years,
R/at No.11, 7th 'D' Main, 19th Cross,
Sampangi Ramanagar,
Bengaluru - 27.

(Rep by M.J. ALVA & Co.. Advocates)

JUDGMENT

This is an appeal filed u/sec.374 (3)(a) of Cr.P.C. by the appellant/accused being aggrieved by the Judgment of Conviction and sentence dated 11.01.2016 passed by XX ACMM, Bengaluru 2 Crl.A.149/2016 in C.C.No.28308/2014 for the offence punishable U/s 138 of Negotiable Instruments Act.

2. The parties to this appeal are referred to their respective ranks assigned to them before the Court below. The appellant was the accused and respondent was the complainant before the Court below.

3. The brief facts which give rise to this appeal can be stated as under:-

The complainant and accused being neighbors, were known to each other very well since long time having friendly relationship. Under his close acquaintance, the accused borrowed hand loan of Rs.3,00,000/- from complainant on 30-03- 2014 to

start his own restaurant business agreeing to repay the same within short span. The accused issued twelve post dated cheques for Rs.25,000/- each dated 17.9.2014 towards repayment of said hand loan amount. When the said cheques were presented for encashment, they came to be dishonored with an endorsement as "funds insufficient". Then the complainant got issued legal notice to the accused, who despite the service of notice neither replied the same nor repaid cheque amounts.

3 CrI.A.149/2016 Then complainant filed complaint u/s 200 Cr.P.C. against the accused for the offence u/s 138 of Negotiable Instruments Act before the learned Magistrate, who after recording sworn statement, took cognizance and registered the case against the accused for the offence u/s 138 of N.I. Act and secured his presence. The accused denied to plead guilty and claimed to be tried. Then the complainant examined himself as P.W.1 and got marked documents as per Ex.P.1 to P.29. After recording statement of his under Sec.313 of Cr.P.C., the accused examined himself as DW1 and got marked documents as per Ex.D.1 to 4.

Learned Magistrate on hearing the arguments on both the sides, proceeded to convict the accused for the offence u/s 138 of N.I. Act and sentenced him to pay a fine of Rs.4,10,000/- and in default to undergo S.I. for three months and also ordered to pay compensation of Rs.4,00,000/- to complainant out of the fine amount by passing impugned judgment dated 11.01.2016.

It is this judgment which is now challenge by the appellant on the following grounds:-

The impugned judgment of conviction and sentence is opposed to the settled principles of law, facts and probabilities of

4 CrI.A.149/2016 the case. The learned Magistrate failed to appreciate the oral and documentary evidence available on record in proper perspective. The learned Magistrate grossly erred in appreciating the defense set up by accused. The learned Magistrate failed to appreciate the contents of Ex.D.1 to 4 in proper perspective. The learned Magistrate failed to attach any importance to the material admissions elicited in the cross-examination of PW1. The learned Magistrate assigned ambiguous and inconsistent reasons in the judgment against to the well settled law, facts and probabilities of the case. The learned Magistrate erred in not holding that the cheques in question were not issued towards discharge of any legally recoverable debt or liability. The impugned judgment is contrary to law, arbitrary and unsustainable and deserves to be set aside. Hence, prayed to set-aside the judgment of conviction and to acquit the accused for the offences u/s 138 of N.I. Act by allowing this appeal.

4. After filing of this appeal, notice duly served on the respondent, who made his appearance through a counsel. The trial Court records have been secured.

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5. Heard the arguments on behalf of both the parties. Both the counsels have also submitted their written arguments. Perused the records.

6. In the light of the contentions taken up in the memorandum of appeal, the points that arise for my determination are as follows;

1) Whether the impugned judgment of conviction is opposed to the settled principles of law, facts and probabilities of the case?

2) Whether the learned Magistrate erred in not appreciating the oral and documentary evidence available on record in proper perspective?

3) Whether the Learned Magistrate erred in not considering the contents of Ex.D.1 to 4 while appreciating defense set up by the accused?

4) Are there any grounds to interfere in the impugned judgment of conviction?

5) What order?

7. My findings on the above points are as follows:

6 CrI.A.149/2016 Point No.1 : In the Negative Point No.2 : In the Negative Point No.3
: In the Negative Point No.4 : In the Negative Point No.5 : As per final Order
REASONS

8. Points No.1 to 4:- All these points are taken together for discussion for the sake of convenience and to avoid repetition of facts. I have carefully gone through the contents of appeal memo, trial Court records and the impugned judgment as well as the written arguments submitted by the appellant.

9. It is the specific case of complainant that under the close friendship, accused borrowed hand loan of Rs.3,00,000/- from him on 30.3.2014 to start his own restaurant business. The accused issued twelve post dated cheques dated 17.9.2014 for Rs.25,000/- each towards repayment of said hand loan amount. Since the said cheques came to be dishonoured with an endorsement as "funds insufficient", a legal notice was issued to the accused who neither replied the same nor repaid the cheque amounts. As such, the complainant has prayed to take legal action against the accused for the offence u/s 138 of N.I. Act.

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10. On the other hand, it is the defense set up by the accused that the complainant got misused the twelve blank signed cheques belonging to accused and thereby got filed this false complaint. It is also the defense set up by the accused that since he had kept those blank signed cheques in his house, they were taken away by complainant and got misused the same and hence prayed to dismiss

the complaint.

11. Keeping in view the rival contentions of both the parties, I have carefully appreciated the oral and documentary evidence available on record so as to answer the points in controversy. Obviously, burden is on the complainant to prove that the cheques in question i.e., Ex.P.1 to 12 were issued by the accused towards discharge of loan liability of Rs.3,00,000/-. In this regard the complainant examined himself as PW1 who in his evidence has reiterated the averments of the complaint. In his evidence, complainant got marked cheques in question, bank endorsements, legal notice, postal receipt and acknowledgement and complaint as per Ex.P.1 to 28. In the further chief examination PW1 got marked I.T. Returns for 2014-15 as per Ex.P.29.

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12. In the cross examination, PW1 states that he advanced said hand loan amount to the accused in the last week of march 2014 in the house of the accused. He states that on the same day, he also advanced loan to the son of the accused and in that regard, he had already filed check bounce case against son of the accused. On the same day the accused had issued 12 post dated cheques which he had already kept ready in favour of complainant. He denied the suggestion that in Ex.P.1 to 12 he himself had filed the name and dates. He further states he is working in Auditor Office and getting salary of Rs.15,000/- p.m. and he receives salary by way of cash. He is income tax assessee. He further states that except the cheques in question, he has not received any other document from accused. He denied the suggestion that he has not advanced loan of Rs.3,00,000/- to accused and he had no financial capacity to lend such huge amount to appellant. He further denied the suggestion that he has stolen the signed cheques from the house of complainant and misused the same by filing the present complaint. He knows that any money transaction more than Rs.20,000/- has to done through cheque only. He further states 9 CrI.A.149/2016 that since the accused was in urgent need of money, he paid the money by cash.

13. A careful appreciation of evidence of PW1 coupled with the contents of Ex.P.1 to 29 makes it clear that the cheques in question bear signatures of the accused. It is undisputed that Ex.P.1 to 12 pertain to the bank account of accused. The facts narrated by PW1 clearly indicate that Ex.P.1 to 12 were issued by accused towards repayment of loan liability. Such being the fact, the burden would shift on the accused to establish that the cheques in question were not issued towards discharge of any loan liability.

14. Further, if really, the complainant had taken away twelve blank cheques Ex.P.1 to 12 from the house of accused without his knowledge, then accused would not have kept mum without filing complaint against PW1 soon after he received the legal notice. Even he did not approach the police against the complainant alleging misuse of cheques and fabrication of records till this day.

15. All these facts give rise to an inference that the accused had issued Ex.P.1 to 12 cheques in favour of 10 CrI.A.149/2016 complainant towards repayment of hand loan amount knowing fully well that he has no balance in his bank account to honour those cheques as on the date of issuance of cheques. Such being the fact, the defense set up by the accused is not probable and believable one.

16. In order to prove his defence, the accused examined himself as DW1. In his evidence he states that he has not issued Ex.P.1 to 12 cheques to complainant. However, he admits that Ex.P.1 to 12 cheques are pertaining to his account and the signatures found on those cheques are his signature. He had kept those signed blank cheques in his house. The complainant is having good friendship with the children of accused and he often used to visit the house of accused. Only after receiving notice from the complainant, he came to know that the complainant is in possession of those signed cheques. The complainant has filed this false case by misusing those signed blank cheques. The accused produced his I.T. returns for the year 2011-12, 2012-13 and 2014-14 as per Ex.D.1 to 3. The accused further states that he receives Rs.2 to 3 lakhs per month from rent and the said amount is credited to his bank account. To show the same he has 11 Crl.A.149/2016 produced his bank account statement for the period 4.4.2013 to 18.3.2013 as per Ex.D.4.

17. In the cross examination on behalf of complainant, he states that he is doing hotel business since March 2014. He states that he has no documents to show that he is getting income of Rs.25,000/- p.m. from hotel business. He admits the suggestion that when he started hotel business, he was in financial problem. He had taken loan from bank. He denied the suggestion that he had obtained loan from complainant. He further denied the suggestion that he had issued Ex.P.1 to 12 towards repayment of said loan. He states that after receipt of notice, he has not taken any legal action against the complainant. He further states that he had talked with the complainant. He admits that since he had suffered loss in business, he had obtained loan of Rs.75,00,000/- from bank. He denied the other suggestions.

18. Having carefully appreciated the evidence of DW 1, I am of the view that his evidence does not disprove the case of complainant. As such, in regard to all these facts and circumstances, I am of the view that the presumption available under Sec.139 of Negotiable Instruments Act is not successfully 12 Crl.A.149/2016 rebutted by the accused. Therefore, the evidence of PW1 coupled with contents of Ex.P.1 to Ex.P.29 is sufficient to hold that the accused having borrowed hand loan of Rs.3.00,000/-, issued Ex.P.1 to 12 cheques towards repayment of loan amount in favour of complainant. As such, the materials placed on record are sufficient to believe the case of the complainant.

19. On the other hand, though the accused has set up a defense that the cheques in question as well as cheque pertaining to his son have been stolen by the complainant and later misused the same, the accused has not substantiated the said contention. Absolutely, there is no material on record to appreciate the defense set up by the accused. As such, the defense set up by accused, is not probable and believable one.

20. Having regard to all these facts and circumstances, I am of the view that the learned Magistrate has rightly appreciated the oral and documentary evidence in proper perspective. As such, there is no error or illegality committed by the learned Magistrate in appreciating the rival contentions set up by the parties. Absolutely, there are no grounds to interfere in the 13 Crl.A.149/2016 impugned judgment of conviction and sentence passed by the Court below.

21. On the other hand, there is no material to appreciate that the cheques in question were misused by the complainant by stealing away the same from the house of accused. The defense set up by the

accused/appellant is not probable and it does not inspire the confidence of this Court. As such the defense set up by the accused is unreliable one. Therefore, absolutely there are no grounds to interfere in the reasoning and findings of the trial Court and as such, impugned judgment of conviction and sentence is in accordance with the settled principles of law, facts and probabilities of the case. Hence, the impugned judgment of conviction deserves to be confirmed with and appeal is liable to be dismissed and accordingly, I answer point No.1 to 4 in negative.

22. Point No.5: In view of my findings on point No.1 to 4, I proceed to pass the following:

ORDER The appeal filed by appellant U/sec.374(3) of Code of Criminal Procedure is hereby dismissed.

14 CrI.A.149/2016 The impugned judgment of conviction passed by the XX ACMM, Bengaluru, in CC No.28308/2014 dt.11.01.2016 is hereby confirmed.

Send a copy of this judgment to the lower Court along with LCR.

(Typed to my dictation by the Judgment Writer, corrected and then pronounced by me in the open court on this the 15th day of April, 2017) (S.K. VANTIGODI) LX Addl.City Civil & Sessions Judge, Bengaluru.

Rrt*